

Inovance



NEVs to weigh on FA demand recovery

Key Points

- 4Q25 and 1Q26 below MQe on weak revenue growth and expense hikes.
- We expect China FA demand to bottom out. Inovance is the key proxy. However, we expect slowing NEV to drag down its revenue and earnings.
- Trough valuations but mixed outlook. We lower TP 10% to Rmb77.80.

- **What we liked:** 4Q25/1Q26 GPM remained steady at 28.2%/29.1%.
- **What we did not like:** 4Q25 SG&A and R&D expense increased by 49.7% and 34.0% you, respectively. 1Q26 operating CF saw a sharp decline YoY/QoQ.
- **Industrial automation revenue/order mismatch due to capacity bottlenecks.** Inovance reported 1Q26 industrial automation revenue growth of 14% YoY, below order book growth of 40%, which management attributed to capacity bottlenecks. Following a 30% capacity expansion, Inovance expects 2Q26 FA revenue growth to align with its order book. We believe China FA demand will bottom in 2026. We expect Inovance to continue gaining market share from global peers, supporting industrial automation revenue growth above the industry.
- **NEV segment is weighing on top-line growth but easing margin pressure.** We expect NEV to remain a headwind for Inovance given slowing demand and intense price competition. However, margin pressure from the rapid expansion of NEV revenues should ease in 2026. Inovance expects its NEV segment to grow faster than the industry, driven by new product development and penetration of new overseas customers.
- **Overseas, the new growth driver.** Overseas revenue grew 30.0% YoY in 2025 and accounted for 5.9% of total revenue. Inovance targets overseas markets to contribute 20-30% of revenue over time. We expect overseas revenue to become a long-term growth driver for the company.
- **2026 guidance** was for revenue and net profit growth of 10-30% YoY.

Earnings changes: We cut our 2026/27E net profits 9%/13% on slower revenue growth.

Valuation: We cut our TP 10% to Rmb77.80, rolling forward to 30.8x 2027E P/E multiple (1SD below historical avg PE) on slowing NEV demand, from 36.3x

Catalyst: Industrial automation demand rebound.

Investment Thesis and Recommendation

Inovance is a domestic leader in the industrial automation industry for servo systems, inverters, PLC and industrial robots. We expect domestic market-share gains on import substitution and overseas expansion. For more research, see [here](#).

Capital Goods China



Daisy Zhang, CFA



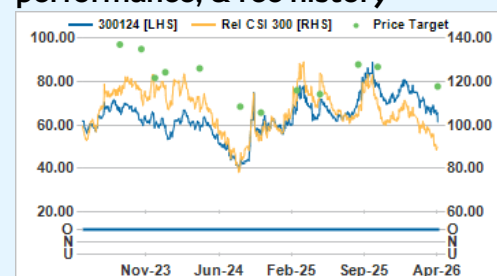
Cassie Dai

300124 CH	Outperform
Price (at 28 Apr 2026)	CNY61.36
12-month target	CNY77.80
12-month TSR (%)	27.7
Volatility Index	Medium
Market Cap (Local) (m)	165,871
Market Cap (USD) (m)	24,308
Free Float (%)	69
30-day avg turnover (USD) (m)	249.1

Investment Fundamentals

Year end 31 Dec	2025A	2026E	2027E	2028E
Revenue (m)	45,105	52,174	60,161	69,332
Revenue growth (%)	21.8	15.7	15.3	15.2
EBIT (m)	5,443	6,156	7,351	8,713
EBIT growth (%)	22.0	13.1	19.4	18.5
Reported profit (m)	5,050	5,823	6,820	8,090
Adjusted profit (m)	5,050	5,823	6,820	8,090
EPS rep [CNY]	1.9	2.1	2.5	3.0
EPS rep growth (%)	16.8	14.1	17.1	18.6
EPS adj [CNY]	1.9	2.1	2.5	3.0
EPS adj growth (%)	16.9	13.9	17.1	18.6
Net debt/equity (%)	(11.1)	(5.5)	(8.9)	(11.8)
ROA (%)	8.5	8.5	9.4	9.9
ROE (%)	15.9	15.5	16.2	17.0
PER rep (x)	32.9	28.9	24.6	20.8
PER adj (x)	32.9	28.9	24.6	20.8
EV/EBITDA (x)	26.9	22.8	19.4	16.6
P/BV (x)	4.7	4.2	3.8	3.3
Total div yield (%)	0.8	0.9	1.1	1.3
Quant (rank vs. global sector)	985 / 2,729			

300124 CH rel CSI 300 performance, & rec history



Source: FactSet, Macquarie Research, Apr 2026 (all figures in CNY unless noted, TP in CNY)

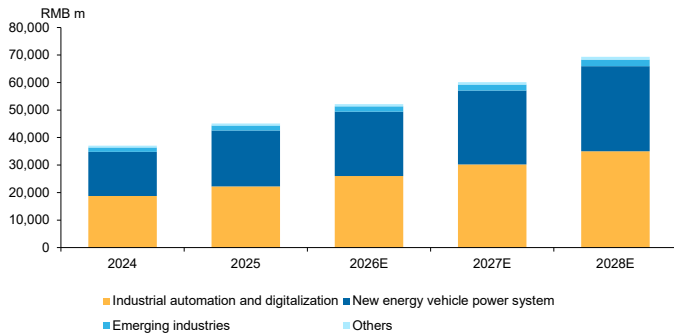
Key Risks to Investment Thesis

- Increasing pricing competition in the industrial automation segment.
- Slowing down NEV market demand.
- A slower-than-expected FA market demand recovery.

Company Description

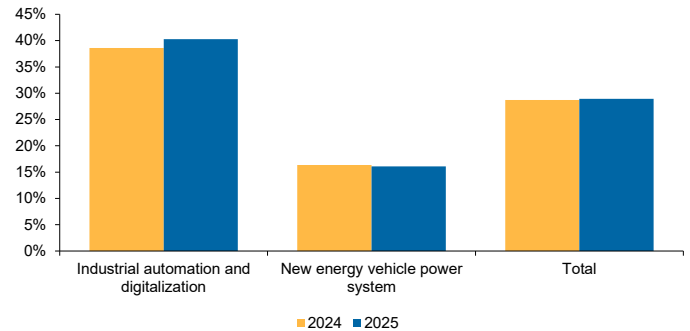
Inovance is a leading provider of industrial automation solutions. It focuses on development, manufacturing and sales of industrial automation components (servos/ controllers/ inverters) with applications in industrial robots, automated manufacturing equipment and EV. With advanced core technology and savvy expansion, it has managed to deliver sustainable growth amid rising competition.

Figure 1 - Inovance revenue breakdown by segment



Source: Company data, Macquarie Research, April 2026

Figure 2 - Inovance - GPM breakdown by segment



Source: Company data, April 2026

Inovance (300124 CH) CNY/(m) unless otherwise noted

Income Statement	Dec FY	2025A	2026E	2027E	2028E	Q1/26A	Q2/26E	Balance Sheet	2025A	2026E	2027E	2028E
Revenue		45,105	52,174	60,161	69,332	10,143	13,378	Cash	7,033	8,345	10,708	13,347
Cost of Goods Sold		32,045	37,253	42,610	48,822	7,194	9,601	Receivables	15,744	12,955	14,938	17,215
Gross Profit		13,060	14,921	17,551	20,511	2,949	3,777	Inventories	8,079	11,692	13,374	15,323
EBITDA		6,435	7,707	9,073	10,594	1,435	1,866	Investments	8,635	8,635	8,635	8,635
Depreciation		770.0	1,112	1,366	1,667	213.7	230.4	Fixed Assets	11,012	13,529	16,518	20,076
Amortisation		221.3	439.1	356.6	213.9	59.4	64.2	Intangibles	2,095	2,095	2,095	2,095
EBIT		5,443	6,156	7,351	8,713	1,162	1,572	Other Assets	18,718	16,653	16,587	16,706
Net Interest Income		65.7	89.0	69.9	97.7	(14.7)	24.8	Total Assets	71,314	73,904	82,853	93,396
Associates		62.8	80.0	80.0	80.0	(60.8)	150.0	Payables	21,683	17,364	19,861	22,756
Other Pre-Tax Income		(138.6)	(135.6)	(263.9)	(319.4)	(16.1)	(0.5)	Short Term Debt	1,347	1,567	1,692	1,848
Pre-Tax Profit		5,433	6,190	7,237	8,571	1,070	1,746	Long Term Debt	1,572	4,506	4,865	5,313
Tax Expense		(260.7)	(297.0)	(347.2)	(411.3)	(47.5)	(83.8)	Other Liabilities	9,577	9,066	10,039	11,156
Net Profit		5,173	5,893	6,890	8,160	1,023	1,662	Total Liabilities	34,180	32,503	36,456	41,072
Minority Interests		(122.7)	(70.0)	(70.0)	(70.0)	(9.4)	(17.5)	Shareholders' Funds	13,469	17,735	22,731	28,658
Reported Earnings		5,050	5,823	6,820	8,090	1,013	1,645	Minority Interests	1,782	1,782	1,782	1,782
Adjusted Earnings		5,050	5,823	6,820	8,090	1,013	1,645	Other	21,884	21,884	21,884	21,884
Basic Shares Outstanding		2,700.5	2,739.1	2,739.1	2,739.1	2,739	2,739	Total S/H Equity	37,135	41,401	46,397	52,324
Diluted Shares Outstanding		2,709.4	2,739.1	2,739.1	2,739.1	2,739	2,739	Total Liab & S/H Funds	71,314	73,904	82,853	93,396
EPS (rep) [CNY]		1.9	2.1	2.5	3.0	0.4	0.6	Net Debt / Equity (%)	(11.1)	(5.5)	(8.9)	(11.8)
EPS (adj) [CNY]		1.9	2.1	2.5	3.0	0.4	0.6	ROE (%)	15.9	15.5	16.2	17.0
Total DPS [CNY]		0.5	0.6	0.7	0.8	0.0	0.0	ROA (%)	8.5	8.5	9.4	9.9
Ratio		2025A	2026E	2027E	2028E			Cash Flow Analysis	2025A	2026E	2027E	2028E
Revenue Growth (%)		21.8	15.7	15.3	15.2	-	-	EBITDA	6,435	7,707	9,073	10,594
EBITDA Growth (%)		23.2	19.8	17.7	16.8	-	-	Tax Paid	(260.7)	(297.0)	(347.2)	(411.3)
EBIT Growth (%)		22.0	13.1	19.4	18.5	-	-	Chgs in Working Cap	7,333	(3,495)	6,161	7,122
EPS Growth (adj) (%)		16.9	13.9	17.1	18.6	-	-	Net Interest Paid	65.7	89.0	69.9	97.7
Gross Profit Margin (%)		29.0	28.6	29.2	29.6	-	-	Operating Cashflow	6,681	3,345	8,057	9,424
EBITDA Margin (%)		14.3	14.8	15.1	15.3	-	-	Acquisitions	(6,378)	94.1	0.0	0.0
EBIT Margin (%)		12.1	11.8	12.2	12.6	-	-	Capex	(3,024)	(3,629)	(4,354)	(5,225)
Net Profit Margin (%)		11.2	11.2	11.3	11.7	-	-	Investing Cashflow	(5,536)	(3,629)	(4,354)	(5,225)
Payout Ratio (%)		26.5	26.7	26.7	26.7	-	-	Dividend (Ordinary)	(1,350)	(1,557)	(1,823)	(2,163)
PE (rep) (x)		32.9	28.9	24.6	20.8	-	-	Equity Raised	(3,283)	(4,266)	(4,996)	(5,927)
PE (adj) (x)		32.9	28.9	24.6	20.8	-	-	Debt Movements	433.9	(3,153)	(483.8)	(604.0)
EV/EBITDA (x)		26.9	22.8	19.4	16.6	-	-	Other	7,091	10,572	5,964	7,135
EV/EBIT (x)		31.7	28.4	23.9	20.2	-	-	Financing Cashflow	2,892	1,596	(1,340)	(1,559)
Price/Book (x)		4.7	4.2	3.8	3.3	-	-	Net Chg in Cash/Debt	4,047	1,312	2,363	2,639
Total Div Yield (%)		0.8	0.9	1.1	1.3	-	-	Free Cashflow	3,657	(284.0)	3,703	4,199

Source: Company data, Macquarie Research Apr 2026

Figure 3 - Inovance - Quarterly financial statement

RMB m	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	YoY %	QoQ %
Revenue	4,778	5,618	5,844	6,767	4,782	7,669	7,670	10,299	6,492	9,691	9,214	11,644	8,978	11,531	11,153	13,442	10,143	13.0%	-24.5%
Industrial automation	2,600	3,334	2,806	3,932	2,843	4,012	3,669	4,514	3,200	4,320	3,380	4,343	4,128	4,679	4,293	9,145	0	-100.0%	-100.0%
-Industrial robot		3,168	2,669	3,774	2,707	3,802	3,465	4,264	2,960	3,980	3,160	4,043	3,868	4,339	3,993	8,912	-286	-107.4%	-103.2%
Elevator	100	166	137	158	136	210	204	250	240	340	220	300	260	340	300	233	286	10.0%	22.7%
New Energy Vehicles	1,200	1,006	1,620	1,336	921	1,447	1,482	1,441	940	1,391	1,269	1,339	960	1,347	1,293	-1,805	1,008	5.0%	155.8%
Rail Trans Pass	900	1,109	1,256	1,823	904	2,063	2,301	4,122	2,300	3,709	4,391	5,592	3,818	5,182	5,400	5,253	4,773	25.0%	-9.1%
Gross profit	1,652	2,130	2,060	2,214	1,746	2,770	2,683	3,006	2,197	2,845	2,736	2,854	2,782	3,418	3,068	3,793	2,949	6.0%	-22.2%
SG&A expenses	514	580	530	727	613	740	707	1,182	709	755	856	703	728	776	804	1,053	780	7.2%	-25.9%
R&D expenses	510	494	596	629	626	669	736	593	786	687	733	941	890	1,076	1,028	1,262	1,007	13.2%	-20.2%
Pre-tax profit	730	1,307	1,112	1,328	731	1,371	1,313	1,585	821	1,436	1,396	956	1,411	1,781	1,268	974	1,070	-24.2%	9.9%
Net profit	717	1,257	1,110	1,235	747	1,330	1,242	1,422	811	1,307	1,236	932	1,323	1,646	1,286	796	1,013	-23.4%	27.3%
Recurring net profit	698	1,047	985	659	625	1,243	1,179	1,025	792	1,277	1,066	901	1,234	1,438	1,217	1,062	1,046	-15.2%	-1.6%
Operating cashflow	-78	-103	2,281	1,101	276	473	700	1,921	27	1,801	2,029	3,344	263	2,758	911	2,750	94	-64.2%	-96.6%
Margins																			
Gross margin	34.6%	37.9%	35.2%	32.7%	36.5%	36.1%	35.0%	29.2%	33.8%	29.4%	29.7%	24.5%	31.0%	29.6%	27.5%	28.2%	29.1%	-1.9%	0.9%
Net margin	15.0%	22.4%	19.0%	18.2%	15.6%	17.3%	16.2%	13.8%	12.5%	13.5%	13.4%	8.0%	14.7%	14.3%	11.5%	5.9%	10.0%	-4.7%	4.1%

Source: Company data, April 2026

Figure 4 - Inovance 2025 financial statement

RMB m	2025	2024	YoY %	2025 MQe	Diff %	25 VA est.	Diff %
Revenue	45,105	37,041	21.8%	46,059	-2.1%	45,702	-1.3%
Gross profit	13,060	10,632	22.8%	12,813	1.9%	13,039	0.2%
SG&A expenses	3,361	3,022	11.2%	3,408	-1.4%		
R&D expenses	4,256	3,147	35.2%	4,280	-0.6%		
Pre-tax profit	5,433	4,609	17.9%	5,578	-2.6%	5,846	-7.1%
Net profit	5,050	4,285	17.8%	5,201	-2.9%	5,464	-7.6%
Recurring net profit	4,951	4,036	22.7%				
Operating cashflow	6,681	7,200	-7.2%				
EPS (RMB)	1.87	1.6	16.9%				
DPS (RMB)	0.5	0.4	22.0%				
Margins							
Gross margin	29.0%	28.7%	0.3 ppts	27.8%	1.1 ppts	28.5%	0.4 ppts
Net margin	11.2%	11.6%	-0.4 ppts	11.3%	-0.1 ppts	12.0%	-0.8 ppts

Source: Company data, Macquarie Research, VisibleAlpha, April 2026

Figure 5 - Inovance 4Q25 financial statement

RMB m	4Q25	4Q24	YoY	3Q25	QoQ	4Q25 MQe	Diff %	4Q25 VA est.	Diff %
Revenue	13,442	11,644	15.4%	11,153	20.5%	14,396	-6.6%	14,065	-4.4%
Gross profit	3,793	2,854	32.9%	3,068	23.6%	3,546	7.0%	3,720	2.0%
SG&A expenses	1,053	703	49.7%	804	30.9%	1,100	-4.3%		
R&D expenses	1,262	941	34.0%	1,028	22.7%	1,286	-1.9%		
Pre-tax profit	974	956	1.8%	1,268	-23.2%	1,119	-12.9%		
Net profit	796	932	-14.6%	1,286	-38.1%	946	-15.9%	1,196	-33.4%
Recurring net profit	1,062	901	17.9%	1,217	-12.7%				
Operating cashflow	2,750	3,344	-17.7%	911	202.0%				
Margins									
Gross margin	28.2%	24.5%	3.7%	27.5%	0.7%	24.6%	3.6%	26.4%	1.8%
Net margin	5.9%	8.0%	-2.1%	11.5%	-5.6%	6.6%	-0.7%	8.5%	-2.6%

Source: Company data, Macquarie Research, VisibleAlpha, April 2026

Figure 6 - Inovance 1Q26 financial statement

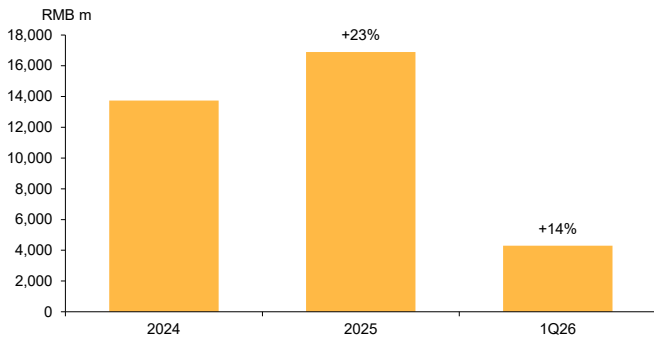
RMB m	1Q26	1Q25	YoY	4Q25	QoQ	1Q26e Mqe	Diff %	1Q26e VA	Diff %
Revenue	10,143	8,978	13.0%	13,442	-24.5%	10,586	-4.2%	10,420	-2.7%
Gross profit	2,949	2,782	6.0%	3,793	-22.2%	3,226	-8.6%	3,073	-4.0%
SG&A expenses	780	728	7.2%	1,053	-25.9%	934	-16.5%		
R&D expenses	1,007	890	13.2%	1,262	-20.2%	917	9.9%		
Pre-tax profit	1,070	1,411	-24.2%	974	9.9%	1,426	-24.9%		
Net profit	1,013	1,323	-23.4%	796	27.3%	1,327	-23.6%	1,289	-21.4%
Recurring net profit	1,046	1,234	-15.2%	1,062	-1.6%				
Operating cashflow	94	263	-64.2%	2,750	-96.6%				
Margins									
Gross margin	29.1%	31.0%	-1.9%	28.2%	0.9%	30.5%	-1.4%	29.5%	-0.4%
Net margin	10.0%	14.7%	-4.7%	5.9%	4.1%	12.5%	-2.5%	12.4%	-2.4%

Source: Company data, Macquarie Research, VisibleAlpha, April 2026

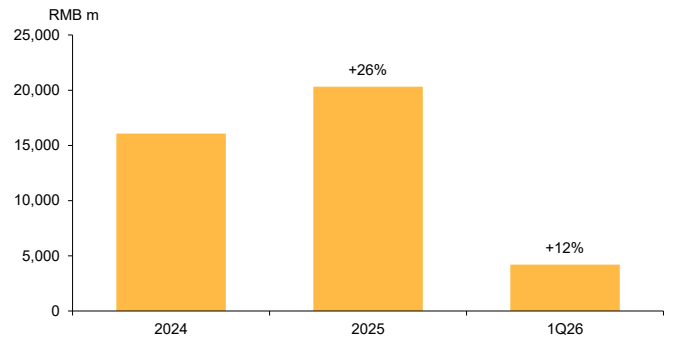
Figure 7 - Inovance - earnings revision table

RMB m	2026E			2027E			2028E		
	New	Old	Change	New	Old	Change	New	Old	Change
Revenue	52,174	54,894	-5.0%	60,161	62,652	-4.0%	69,332		
Gross profit	14,921	15,499	-3.7%	17,551	18,207	-3.6%	20,511		
Opex	8,765	8,770	-0.1%	10,200	9,988	2.1%	11,798		
EBIT	6,156	6,728	-8.5%	7,351	8,219	-10.6%	8,713		
Pre-tax profit	6,190	6,866	-9.8%	7,237	8,345	-13.3%	8,571		
Net profit	5,823	6,405	-9.1%	6,820	7,799	-12.6%	8,090		
Margins									
Gross margin	28.6%	28.2%	0.4%	29.2%	29.1%	0.1%	29.6%		
Op margin	11.8%	12.3%	-0.5%	12.2%	13.1%	-0.9%	12.6%		
Net margin	11.2%	11.7%	-0.5%	11.3%	12.4%	-1.1%	11.7%		

Source: Company data, Macquarie Research, April 2026

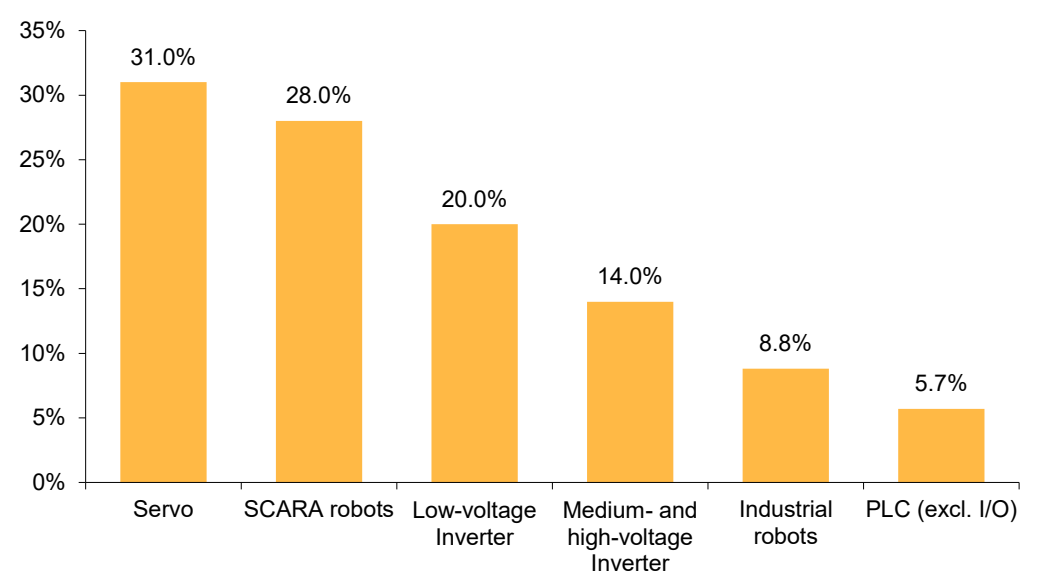
Figure 8 - Inovance - Industrial automation segment revenue growth

Source: Company data, April 2026

Figure 9 - Inovance - NEV segment revenue growth

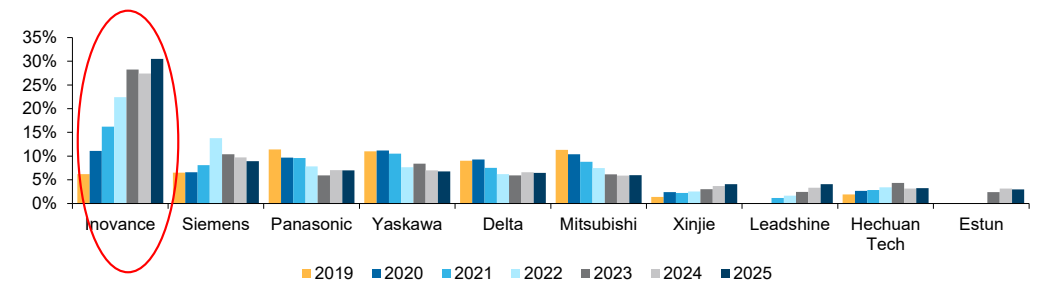
Source: Company data, April 2026

Figure 10 - Inovance: core product market share in China (2025)



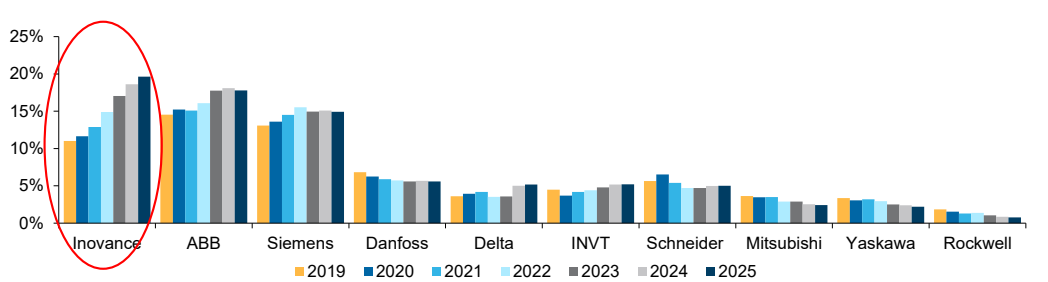
Source: Company data, April 2026

Figure 11 - Market share of servo systems in China



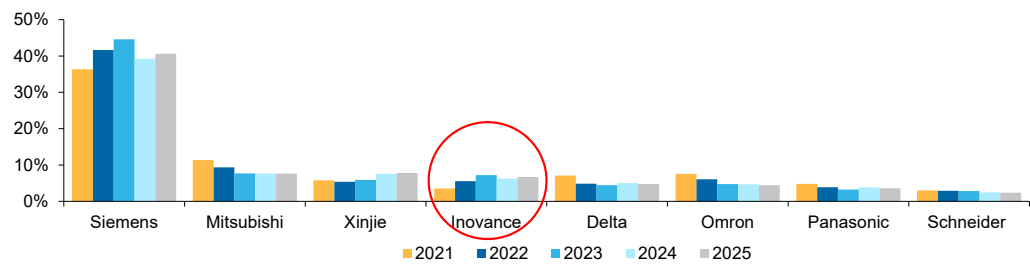
Source: MIR, April 2026

Figure 12 - Market share of inverters in China



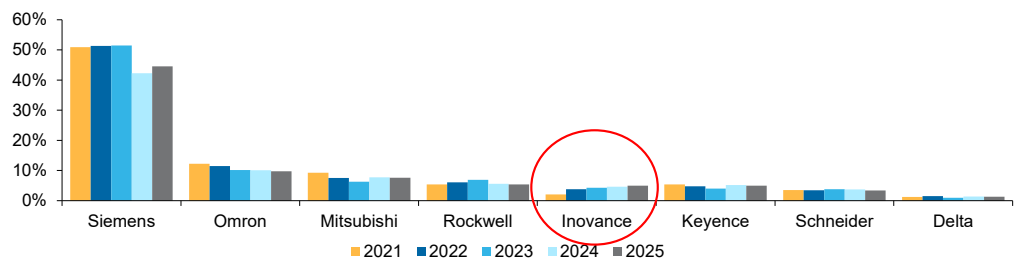
Source: MIR, April 2026

Figure 13 - Market share of small PLCs in China



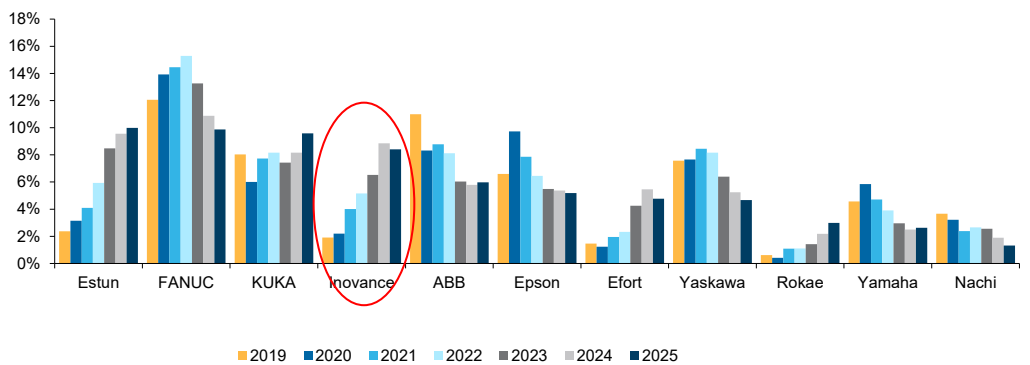
Source: MIR, April 2026

Figure 14 - Market share of large PLCs in China



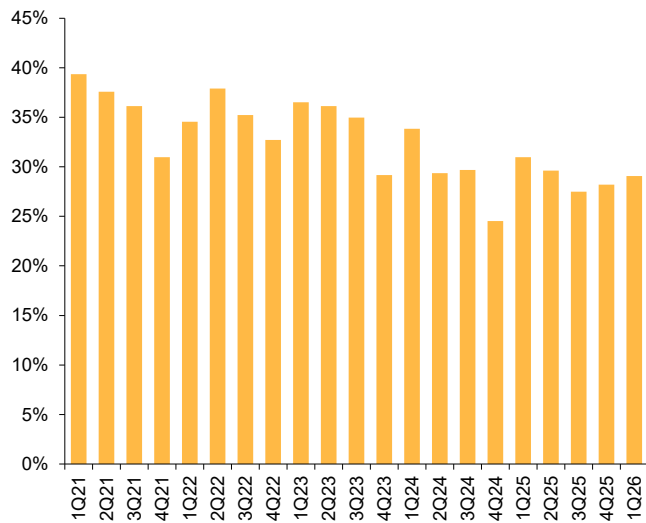
Source: MIR, April 2026

Figure 15 - Market share of industrial robots in China



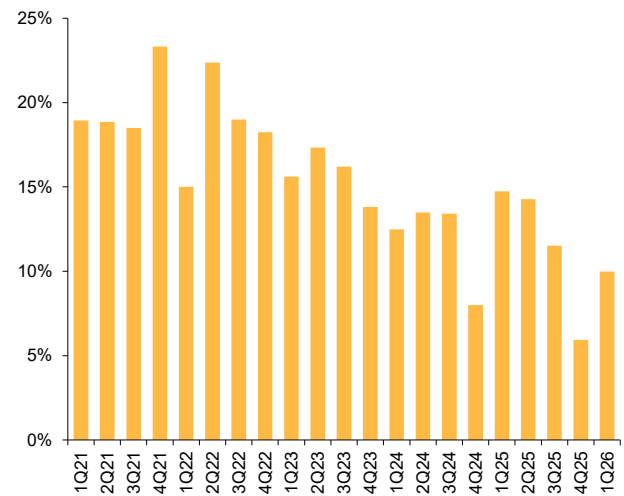
Source: MIR, April 2026

Figure 16 - Inovance GPM trend



Source: Company data, April 2026

Figure 17 - Inovance NPM trend



Source: Company data, April 2026

Figure 18 - China industrial automation peer valuations

BBG Ticker	Company	Rating	Current Price (LC)	Price Target (LC)	12m TSR (%)	Market Cap (US\$, m)	P/E (x)			P/B (x)			ROE (%)			EV/EBITDA (x)			Dividend Yield (%)			EPS CAGR (%)
							2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E	
China																						
300124 CH	Shenzhen Inovance	Outperform	64.75	77.80	21.1	24,506	32.9	28.9	24.6	4.7	4.2	3.8	15.9	15.5	16.2	25.1	21.5	18.1	0.8	0.9	1.1	15.5
688017 CH	Leader Harmonious Drive	Outperform	205.26	246.00	20.1	5,703	311.5	225.5	163.5	10.9	10.5	10.1	3.6	4.7	6.3	218.4	194.7	145.6	0.1	0.3	0.4	38.0
002747 CH	Estun Automation - A	Underperform	20.62	12.80	-38.9	2,781	491.9	104.1	82.8	11.4	9.2	8.2	2.3	9.3	10.5	78.5	48.2	40.3	0.0	0.0	0.2	143.7
2715 HK	Estun Automation - H	Neutral	12.09	12.60	0.2	1,490	257.7	54.5	43.4	6.0	4.8	4.3	2.3	9.3	10.5	45.0	28.2	23.6	0.0	0.0	0.3	143.7
688777 CH	Zhejiang Supcon	Underperform	67.39	36.00	-51.6	8,939	134.5	67.0	46.4	5.9	5.6	5.2	4.3	8.5	11.5	149.7	85.1	53.9	0.4	0.7	1.1	70.3
300024 CH	Siasun Robot & Automation	NR	14.80	NR	N/A	3,313	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Average							245.7	96.0	72.1	7.8	6.9	6.3	5.7	9.5	11.0	103.3	75.6	56.3	0.3	0.4	0.6	82.3
Taiwan																						
1590 TT	AirTac	Outperform	1,360.00	1,700.00	22.2	8,807	33.6	28.6	24.9	5.4	4.9	4.5	16.7	17.8	18.8	21.6	18.0	15.8	1.6	2.3	2.6	16.2
2308 TT	Delta Electronics Inc	Outperform	2,075.00	1,600.00	-20.2	172,807	148.9	87.3	52.3	26.3	22.8	20.3	19.1	17.3	16.4	36.9	86.6	83.3	0.6	1.0	1.3	51.2
2049 TT	Hiwin Technologies	NR	295.00	NR	N/A	3,362	71.3	42.4	33.2	2.9	2.7	2.6	3.9	6.5	8.0	26.0	19.5	16.3	0.6	0.8	1.2	N/A
Average							84.6	52.8	36.8	11.5	10.1	9.1	13.3	13.9	14.4	28.2	41.4	38.5	0.9	1.3	1.7	33.7
Japan																						
6954 JP	Fanuc Corp	Outperform	6,256.00	8,000.00	11.6	43,332	41.4	37.2	30.9	3.5	3.4	3.4	8.6	9.3	11.0	26.8	23.9	20.2	1.4	1.6	1.9	17.2
6506 JP	Yaskawa Electric Corp	Outperform	5,150.00	6,000.00	11.1	9,111	24.5	39.5	29.8	3.2	2.9	2.8	13.7	7.7	9.5	20.2	21.4	17.1	1.3	1.3	1.4	-9.3
6324 JP	Harmonic Drive Systems Inc	Outperform	4,195.00	5,000.00	2.8	2,876	119.9	199.6	69.5	5.3	5.3	5.1	4.4	2.7	7.5	47.4	37.6	24.8	0.5	0.5	0.7	31.3
6273 JP	SMC	Outperform	70,470.00	100,000.00	33.8	30,630	29.2	27.9	23.6	2.3	2.1	2.1	8.2	8.2	8.9	17.2	16.7	12.5	1.4	1.4	1.7	11.2
6841 JP	Yokogawa Electric Corp	NR	5,331.00	NR	N/A	8,717	25.8	25.3	20.6	3.0	2.7	2.5	11.9	12.2	12.8	11.9	10.9	10.0	1.1	1.4	1.6	11.9
6268 JP	Nabtesco Corp	NR	5,032.00	NR	N/A	3,707	37.9	29.6	25.5	2.2	2.1	2.0	5.6	6.8	7.4	15.6	13.5	12.5	1.6	1.7	1.7	21.9
Average							46.4	59.5	33.3	3.3	3.1	3.0	8.7	7.8	9.5	23.2	20.7	16.2	1.2	1.3	1.5	14.0
Europe																						
SIE GY	Siemens Ag-Reg	NR	251.85	NR	N/A	230,664	21.9	22.9	20.3	3.5	2.9	2.7	16.4	13.2	14.1	17.1	15.6	14.1	2.1	2.2	2.3	3.9
SU FP	Schneider Electric Se	NR	275.10	NR	N/A	185,947	32.0	28.4	24.4	5.5	5.8	5.2	16.2	11.2	21.9	20.3	18.5	16.5	1.5	1.7	1.9	14.6
ABBW SW	Abb Ltd-Reg	NR	77.62	NR	N/A	179,882	38.7	29.6	29.4	11.3	9.3	8.1	30.3	33.5	29.3	26.5	22.3	20.6	1.0	1.2	1.2	14.7
Average							30.9	26.9	24.7	6.7	6.0	5.3	20.9	22.7	21.8	21.3	18.8	17.1	1.6	1.7	1.8	11.1
US																						
HON US	Honeywell International Inc	NR	212.05	NR	N/A	134,366	21.2	20.2	18.5	7.5	8.4	6.9	35.3	44.1	46.2	16.2	16.2	14.9	2.2	2.3	2.3	7.0
ROK US	Rockwell Automation Inc	NR	406.92	NR	N/A	45,721	40.7	35.6	29.7	12.5	11.3	10.0	30.4	34.7	36.0	28.1	23.9	21.6	1.3	1.3	1.4	17.0
Average							30.9	26.9	24.1	10.0	9.8	8.4	32.8	39.4	41.1	22.1	20.0	18.2	1.7	1.8	1.9	12.0
Overall Average							87.7	52.4	38.2	7.8	7.2	6.4	16.3	18.6	19.6	39.6	35.3	29.2	1.1	1.3	1.5	30.6

Source: Bloomberg, Company data, Macquarie Research, April 2026. Prices as of 23-Apr-2026.

Data for Not Rated stocks is Bloomberg consensus

Key Quant Findings

The quant model currently holds a marginally positive view on Inovance. The strongest style exposure is Quality, indicating this stock is likely to have a superior and more stable underlying earnings stream. The weakest style exposure is Valuations, indicating this stock is over-priced in the market relative to its peers.

Macquarie Alpha Model: Key rankings

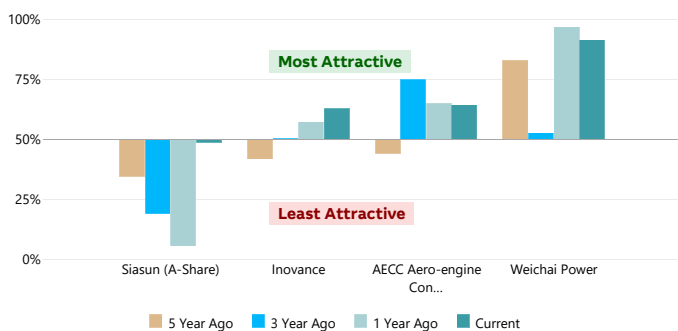
The Macquarie Quant's flagship Alpha model is a dynamic multi-factor model based on a staple of quant factors such as value, momentum, revisions, quality, and risk.

	Global	Market (Country)	Sector
	Whole Universe	China A	Capital Goods
Macquarie Alpha Model	7116/17994	1906/5158	985/2729
Fundamental (Consensus) *	4624/17994	1124/5158	657/2729

* based on Total Shareholder Return = Consensus Price target / Current Price

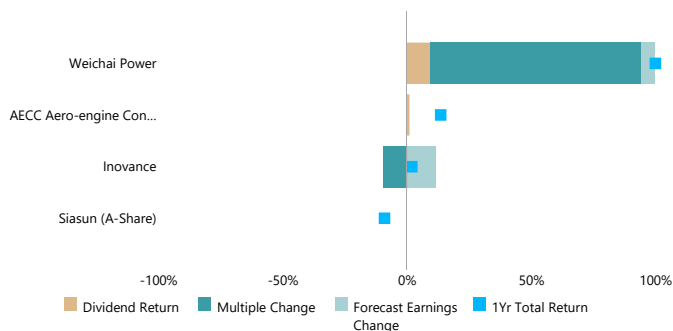
Current and Historical Alpha Model Rank

The chart shows the Macquarie Alpha model market ranking against the company's peers and over recent history.



Drivers of Stock Return

Breakdown of 1-year total return (local currency) into returns from dividends, changes in forward earnings estimates and the resulting change in earnings multiple.



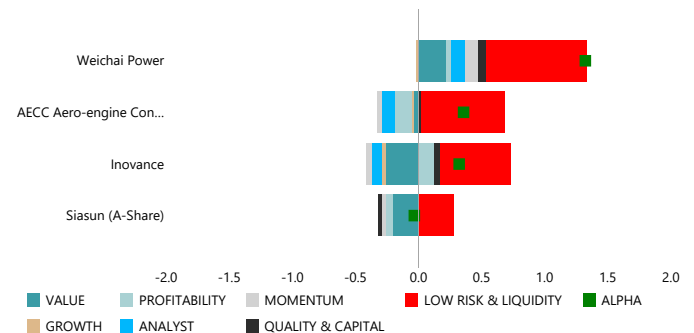
Alpha Model Decomposition

The Macquarie Alpha is decomposed into its sector and market relative factor & styles exposures (a higher/better percentile is coded in green, whilst lower in red).

Factors / Styles	Percentile relative to		Core factors in definition
	sectors (/2729)	market (/5158)	
ALPHA	64%	63%	Built from the styles below
VALUE	18%	23%	Book, CF, Yield, Earnings Multiples
ANALYST	66%	77%	Revisions (Earnings, Recommendations)
MOMENTUM	47%	37%	Price Momentum
GROWTH	31%	29%	EPS, Sales (Forecast, Historic)
PROFITABILITY	92%	89%	ROE, Margin, Asset Turnover
QUALITY	85%	81%	Accruals, Earn Stability, Cash Conversion
CAPITAL	51%	55%	Investment/Capex, Net share issuance
LIQUIDITY	96%	95%	Size, Turnover, Analyst Coverage
LOW RISK	83%	76%	Beta, Volatility, Earn.Cert, Leverage
TECHNICAL	83%	81%	MACD, RSI, Bollinger, Williams R, etc

Factors driving the Alpha Model vs peers

For the comparable firms this chart shows the key underlying styles and their contribution to the current overall raw Alpha score.



Macquarie Style Returns over last year

Recent performance to Macquarie style factors

	Monthly Factor Long-Short Returns for												Last 5 Years (ann)	Last 10 Years (ann)
	Mar - 26	Feb - 26	Jan - 26	Dec - 25	Nov - 25	Oct - 25	Sep - 25	Aug - 25	Jul - 25	Jun - 25	May - 25	Apr - 25		
ALPHA	4%	0%	0%	3%	3%	2%	-3%	-6%	-7%	-1%	1%	0%	7%	5%
VALUE	6%	0%	-2%	3%	5%	4%	-4%	-4%	-3%	2%	4%	-2%	10%	5%
ANALYST	-2%	0%	6%	5%	-2%	3%	4%	1%	-3%	4%	0%	-1%	14%	11%
MOMENTUM	-4%	5%	8%	6%	-1%	-2%	0%	-6%	-6%	-2%	2%	0%	0%	2%
GROWTH	-4%	-1%	4%	2%	-2%	0%	5%	8%	0%	1%	0%	-1%	3%	1%
PROFITABILITY	3%	0%	-4%	1%	3%	0%	-4%	-2%	-6%	1%	3%	1%	-4%	-2%
QUALITY	2%	-1%	-4%	-1%	1%	-4%	-6%	1%	-3%	-4%	0%	1%	-5%	-2%
CAPITAL	2%	-2%	2%	-1%	3%	-3%	-1%	-2%	-1%	-1%	0%	0%	4%	-3%
LIQUIDITY	-1%	3%	1%	2%	-1%	-1%	3%	3%	-2%	1%	2%	0%	-5%	2%
LOW RISK	6%	-2%	-8%	-2%	5%	1%	-6%	-11%	-9%	-5%	-1%	4%	-5%	-6%

Source (all charts): FactSet, Refinitiv, and Macquarie Quant. For more details on the Macquarie Alpha model or for more customised analysis and screens, please contact the Macquarie Global Quantitative Team: maccapequitiesresearchquantglobal@macquarie.com. Explanation for items on this page can be found at <https://www.macquarieinsights.com/rp/d/r/p/OTUyMzg1>

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Important Disclosures

Recommendation definitions	Volatility index definition	Financial definitions
Macquarie – Asia and USA Outperform – expected return >10% Neutral – expected return from -10% to +10% Underperform – expected return <-10% Macquarie – Australia/New Zealand Outperform – expected return >10% Neutral – expected return from 0% to 10% Underperform – expected return <0% During periods of share price volatility, recommendations and target prices may occasionally and temporarily be inconsistent with the above definitions. Recommendations – 12 months 12-month target – Expected share price in 12 months Valuation – The company's estimated fair value share price based on the disclosed valuation methodology Note: Quant recommendations may differ from Fundamental Analyst recommendations	This is calculated from the volatility of historical price movements. Very high – highest risk – Stock should be expected to move up or down 60-100% in a year – investors should be aware this stock is highly speculative. High – stock should be expected to move up or down at least 40-60% in a year – investors should be aware this stock could be speculative. Medium – stock should be expected to move up or down at least 25-40% in a year. Low – stock should be expected to move up or down at least 15-25% in a year. * Applicable to select stocks in Asia/Australia/NZ Note: expected return is reflective of a Medium Volatility stock and should be assumed to adjust proportionately with volatility risk	All "Adjusted" data items have had the following adjustments made: Added back: goodwill amortisation, provision for catastrophe reserves, IFRS derivatives & hedging, IFRS impairments & IFRS interest expense Excluded: non recurring items, asset revals, property revals, appraisal value uplift, preference dividends & minority interests EPS = adjusted net profit / efpowa* ROA = adjusted ebit / average total assets ROA Banks/Insurance = adjusted net profit / average total assets ROE = adjusted net profit / average shareholders funds Gross cashflow = adjusted net profit + depreciation *equivalent fully paid ordinary weighted average number of shares All Reported numbers for Australian/NZ listed stocks are modelled under IFRS (International Financial Reporting Standards).

Recommendation proportions for quarter ending 31 Mar 2026

	AU/NZ	Asia	USA	
Outperform	66.90%	69.32%	67.14%	(for global coverage by Macquarie, 1.93% of stocks followed are investment banking clients)
Neutral	27.18%	17.21%	32.86%	(for global coverage by Macquarie, 0.40% of stocks followed are investment banking clients)
Underperform	5.92%	13.47%	0.00%	(for global coverage by Macquarie, 0.00% of stocks followed are investment banking clients)

Company-Specific Disclosures

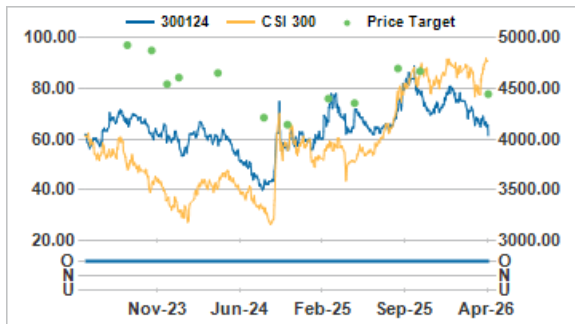
Company Name	Disclosure
Inovance (300124 CH) Outperform 12-month target: CNY77.80 - PER Valuation: CNY 77.80 - PER Price: CNY61.36	None

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Recommendation history

Company name	Date	Recommendation	Target price
Inovance (300124 CH)	28-Apr-2026	Outperform	CNY 77.80
	25-Oct-2025	Outperform	CNY 86.80
	26-Aug-2025	Outperform	CNY 87.90
	30-Apr-2025	Outperform	CNY 74.20
	18-Feb-2025	Outperform	CNY 76.00
	30-Oct-2024	Outperform	CNY 65.70
	27-Aug-2024	Outperform	CNY 68.50
	24-Apr-2024	Outperform	CNY 86.10
	9-Jan-2024	Outperform	CNY 84.30



8-Dec-2023	Outperform	CNY 81.70
27-Oct-2023	Outperform	CNY 95.00
22-Aug-2023	Outperform	CNY 97.10

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